1.7.2 Steps to be followed to find out the profit or loss by preparing statement of affairs

Following are the steps to be followed to find out the profit or loss when a statement of affairs is prepared:

1. Ascertain the opening capital by preparing a statement of affairs at the beginning of the year by taking the opening balances of assets and liabilities.
2. Ascertain the closing capital by preparing a statement of affairs at the end of the accounting period after making all adjustments such as depreciation, bad debts, outstanding and prepaid expenses, outstanding income, interest on capital, interest on drawings, etc.
3. Add the amount of drawings (both in cash and/in kind) to the closing capital.
4. Deduct the amount of additional capital introduced, to get adjusted closing capital.
5. Ascertain profit or loss by subtracting opening capital from the adjusted closing capital.

   (a) If adjusted closing capital is more than the opening capital, it denotes profit

   (b) If adjusted closing capital is lesser than the opening capital, it denotes loss

Following format is used to find out the profit or loss:

Statement of profit or loss for the year ended …….

Particulars	₹
Capital at the end of the year	xxx
Add: Drawings during the year	xxx
	xxx
Less: Additional capital introduced during the year	xxx
Adjusted closing capital	xxx
Less: Opening Capital	xxx
Profit or loss for the year	xxx

Illustration 1

From the following particulars ascertain profit or loss:

	₹
Capital at the beginning of the year (1st April, 2016)	2,00,000
Capital at the end of the year (31st March, 2017)	3,50,000
Additional capital introduced during the year	70,000
Drawings during the year	40,000

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